

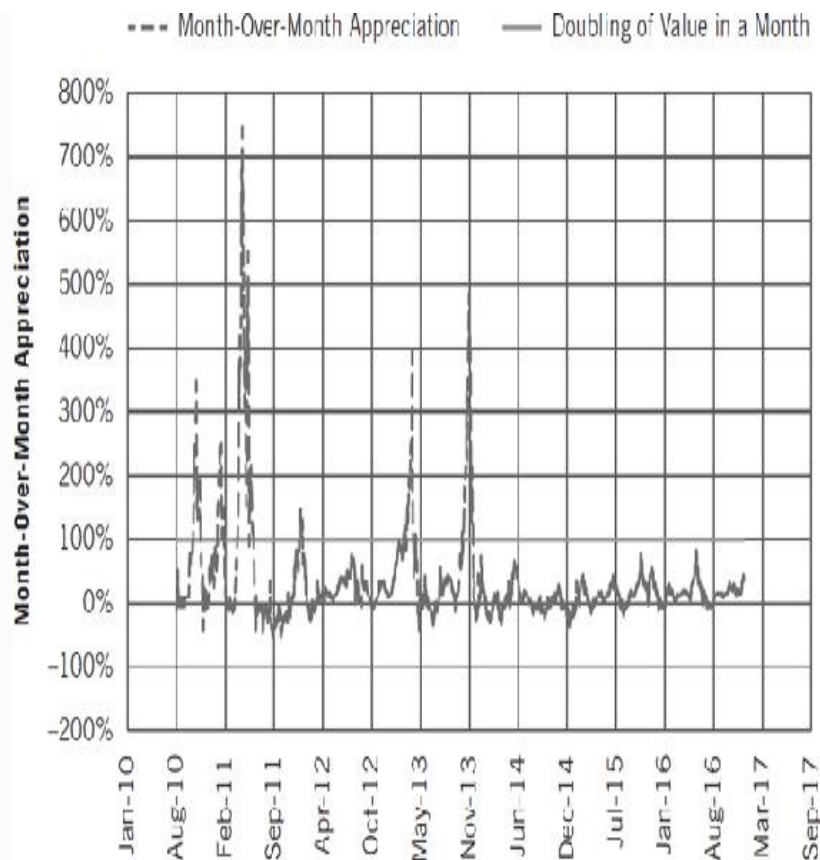


Figure 10.2 ■ Bitcoin's history of doubling price in a one-month period
Data sourced from CoinDesk

Three of these doublings happened in the year after the opening of Mt. Gox. The last ascent during this period was the most phenomenal, when on May 13, 2011, the price increased more than 700 percent over the previous month. While there were respective drivers to these price runs, by and large they were fueled by the ability of more mainstream users to gain access to bitcoin through Mt. Gox. Small pieces of information created snowball effects that took the market by storm.

To understand how these bubbles unfolded, it is helpful to quantify certain aspects. First, we will define a *bitcoin bubble cycle* as being recognizable on the first day that bitcoin's price